of the four outcomes). If you put yourself in each prisoner's place, assuming both to be motivated by rational self-interest and remembering that they cannot talk to one another to make a pact, you will see that neither has any choice but to betray the other, thereby condemning both to heavy sentences.

Is there any way out of the dilemma? Both players know that, whatever their opponent does, they themselves cannot do better than DEFECT; yet both also know that, if only *both* had cooperated, *each* one would have done better. If only … if only … if only there could be some way of reaching agreement, some way of reassuring each player that the other can be trusted not to go for the selfish jackpot, some way of policing the agreement.

In the simple game of Prisoner's Dilemma, there is no way of ensuring trust. Unless at least one of the players is a really saintly sucker, too good for this world, the game is doomed to end in mutual defection with its paradoxically poor result for both players. But there is another version of the game. It is called the 'Iterated' or 'Repeated' Prisoner's Dilemma. The iterated game is more complicated, and in its complication lies hope.

The iterated game is simply the ordinary game repeated an indefinite number of times with the same players. Once again you and I face each other, with a banker sitting between. Once again we each have a hand of just two cards, labelled COOPERATE and DEFECT. Once again we move by each playing one or other of these cards and the banker shells out, or levies fines, according to the rules given on page 263. But now, instead of that being the end of the game, we pick up our cards and prepare for another round. The successive rounds of the game give us the opportunity to build up trust or mistrust, to reciprocate or placate, forgive or avenge. In an indefinitely long game, the important point is that we can both win at the expense of the banker, rather than at the expense of one another.

After ten rounds of the game, I could theoretically have won as much as $5,000, but only if you have been extraordinarily silly (or saintly) and played COOPERATE every time, in spite of the fact that I was consistently defecting. More realistically, it is easy for each of us to pick up $3,000 of the banker's money by both playing COOPERATE on all ten rounds of the game. For this we don't have to be particularly saintly, because we can both see, from the other's past moves, that the other is to be trusted. We